

## Calendar Line 8

**Case Name:** *Kam Hong Lui et al. v. Rozita Dadgostari*

**Case No.:** 24CV444662

This is a petition to compel arbitration and stay the case by defendant Rozita Dadgostari. In addition, plaintiffs Kam Hong Lui, Weijia Cai, and Stanford Education Foundation LLC (“SEF”) have filed a motion for leave to submit a surreply brief in opposition to the petition to compel. The court grants the motion for leave to file a surreply, and the court has reviewed the surreply.<sup>5</sup> The court ultimately grants the petition to compel arbitration and to stay the case.

### 1. Background

Lui, Cai, and Dadgostari are parties to an “Operating Agreement of Stanford Education Foundation LLC[,] a California Limited Liability Company,” dated November 20, 2023 (the “Operating Agreement”). (Petition to Compel, Exhibit A.) Section 13.9 of the Operating Agreement includes an arbitration provision that states, in part:

13.9 Arbitration. Except as otherwise provided in this Agreement, any controversy or dispute arising out of this Agreement, the interpretation of any of the provisions, or the action or inaction of any Member or Manager that is not resolved through negotiation will be resolved exclusively by final and [b]inding arbitration conducted in accordance with the then-current Streamlined Arbitration Rules and Procedures of the Judicial Arbitration and Mediation Services (“JAMS”). The arbitration will be conducted by a single arbitrator selected by agreement of the parties or, if the parties cannot agree, an arbitrator appointed in accordance with the JAMS rules who shall be experienced in the type of dispute at issue . . . . The arbitrator will have full power and authority to determine issues of arbitrability and to interpret and construe the provisions of the agreement documents and to fashion appropriate remedies . . . .

There is a separate agreement between Dadgostari and non-party Jun Lu, a “Membership Inter[e]st Purchase and Transfer Agreement,” by which Dadgostari agreed to purchase Lu’s 30% interest in SEF (a.k.a., the “Purchase Agreement”). (Complaint, Exhibit 1.) The Purchase Agreement does not contain an arbitration provision. Both the Operating Agreement and the Purchase Agreement are dated November 20, 2023.

The complaint in this case asserts 13 causes of action against Dadgostari, including causes for fraud (both misrepresentation and fraudulent inducement), conversion, receiving stolen property, tortious interference (with business relationships, contracts, and prospective economic relations), unfair business practices, promissory estoppel, unjust enrichment, breach of contract (the Operating Agreement), breach of fiduciary duty (based on the Operating Agreement), and breach of the implied covenant of good faith and fair dealing (arising out of the Operating Agreement). Some of these causes of action are by all plaintiffs, some are by Lui and Cai only, and some are by SEF only.

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<sup>5</sup> The court agrees with plaintiffs that Dadgostari’s reply brief raises new issues and facts that merit consideration of a surreply.

According to the parties, Dadgostari already filed a demand for arbitration with JAMS under the Operating Agreement (as to Lui and Cai) in June 2024, before the present suit was filed. Less than two months later, Lui, Cai, and SEF filed the present complaint against Dadgostari.

## **2. The Existence of an Arbitration Agreement**

In ruling on a petition to compel, a court applies general principles of contract law to determine whether the parties actually agreed to arbitrate their dispute. (*Diaz v. Sohnen Enterprises* (2019) 34 Cal.App.5th 126, 129.) In this case, the court finds that at least three of the parties—Lui, Cai, and Dadgostari—did enter into an arbitration agreement when they entered into the Operating Agreement. The court also finds the language of the arbitration provision to be exceptionally broad—not only encompassing “interpretation” of the Operating Agreement and any dispute “arising out of” the Operating Agreement, but also “the action or inaction of any Member or Manager [*i.e.*, Lui, Cai, or Dadgostari] that is not resolved through negotiation.” (Operating Agreement, § 13.9.) This language is indisputably broad enough to encompass several of the causes of action in the complaint, including the breach causes of action (the eleventh, twelfth, and thirteenth) and the unfair business practices cause of action (the eighth). Arguably, the language is also broad enough to encompass the other causes of action brought by Lui and Cai (for fraud, theft, promissory estoppel, and unjust enrichment).

Plaintiffs argue that there is no agreement to arbitrate because Dadgostari never complied with her obligations under the Purchase Agreement with Lu—*i.e.*, that even though Dadgostari and Lu signed the Purchase Agreement, Dadgostari never fully paid Lu for the 30% interest that she now claims to have under the Operating Agreement. The court finds this argument to be unpersuasive.

First, plaintiffs allege that the Operating Agreement “was only to go into effect if the transaction closed.” (Opposition, p. 1:9.) This allegation is belied by the face of the Operating Agreement, which states that it “is made and entered into as of November 20, 2023 (the “Effective Date”), by and among [Lui, Cai, and Dadgostari].” Plaintiffs repeatedly refer to the Operating Agreement as a “proposed operating agreement,” but the Operating Agreement was signed by the parties, with an effective date that is exactly the same as the Purchase Agreement: November 20, 2023. In addition, the Operating Agreement contains an integration clause, which states that it is the “complete and exclusive statement of agreement among the Members and Managers with respect to the subject matter [*i.e.*, the operation of SEF].” (Operating Agreement, § 13.1.) Thus, the Operating Agreement is an actual agreement on its face, not a “proposed” agreement, as plaintiffs repeatedly contend.

Second, plaintiffs allege that the “closing” of the purchase transaction was a “condition precedent” to the formation of the Operating Agreement. (Opposition, pp. 3:9-6:14.) Having reviewed both the Operating Agreement and the Purchase Agreement in their entirety, the court finds this allegation to be baseless. There is no language in either the Operating Agreement or the Purchase Agreement that states that the Operating Agreement is in any way dependent upon consummation of the Purchase Agreement. Of course, there is language in the Purchase Agreement that says that “closing” of the purchase is contingent upon delivery of the “Purchase Price” by Dadgostari to Lu—in other words, payment of the purchase price is expressly a condition precedent to a “closing” under the Purchase Agreement. But no similar language exists with respect to the formation or validity of the Operating Agreement. Indeed,

this language demonstrates that the parties knew exactly how to write a “condition precedent” into a contract—something that they did not write into the Operating Agreement here.

The court certainly understands plaintiffs’ argument that if Dadgostari never fully paid Lu for a 30% share of SEF, then Dadgostari is not a valid “Member” or “Manager” of SEF under the Operating Agreement, but that is a merits issue that needs to be adjudicated (or arbitrated) later in this case. It has no bearing on whether Lui, Cai, and Dadgostari actually entered into an arbitration agreement. Whether Dadgostari has breached her Purchase Agreement with Lu is a separate matter that potentially goes to the question of arbitrability.<sup>6</sup>

### 3. The Question of Arbitrability

Unless the parties clearly delegate the question of arbitrability to the arbitrator in their agreement, the court generally determines the arbitrability of the dispute. (*BG Group, PLC v. Republic of Argentina* (2014) 572 U.S. 25, 34; *United Teachers of Los Angeles v. Los Angeles Unified School District* (2012) 54 Cal.4th 504, 524-525.) Here, the parties clearly and unmistakably agreed that the JAMS arbitrator would “have full power and authority to determine issues of arbitrability and to interpret and construe the provisions of the agreement documents and to fashion appropriate remedies.” (Operating Agreement, § 13.9.) Indeed, it is the court’s understanding that the JAMS arbitrator in this case, Judge Komar, has already provisionally scheduled an evidentiary hearing on the question of whether Dadgostari is a proper “Member” of SEF on March 11, 2025, subject to the court’s decision on this petition to compel. (Surreply, pp. 1:1-2:11.) The court sees no reason why this March 11 hearing cannot proceed as originally scheduled. As noted above, the question of whether Dadgostari is a “Member” of SEF under the Operating Agreement is intertwined with the question of whether Dadgostari substantially complied with her obligations under the Purchase Agreement with non-party Lu—these questions involve contested factual issues that will likely need to be fleshed out in an evidentiary hearing. Again, the court finds this decision to involve a determination of arbitrability more than it involves a determination of whether an arbitration agreement exists.

Arguably, the question of whether Dadgostari is a “Member” of SEF is not quite an “arbitrability” determination or an “existence of arbitration agreement” determination—arguably, it is instead a determination on the *ultimate merits* of the case. If so, that is all the more reason why addressing the issue now on a petition to compel would be odd and premature. The question is best left to the ultimate trier of fact—in this case, the JAMS arbitrator.<sup>7</sup>

In her reply brief, Dadgostari requests (for the first time) an evidentiary hearing on her petition to compel, but it is the court’s understanding that the issues as to which Dadgostari seeks such a hearing are factual issues that go either to arbitrability or to the ultimate merits of the case. Because Dadgostari does not appear to be requesting an evidentiary hearing *as to whether an arbitration agreement actually exists*—a question that the court has decided here

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<sup>6</sup> It also remains unclear to the court how Lui and Cai have standing to assert a breach of the payment obligation in the Purchase Agreement, given that Lu, not Lui and Cai, was the seller of the 30% interest in SEF. Lu is not a party to this case, and it is the court’s understanding that Lu is not involved in the JAMS arbitration, either.

<sup>7</sup> Again, the arbitrator is best suited to making an initial determination as to whether Lui and Cai have the ability to assert a breach of the Purchase Agreement.

based on a reading of the Operating Agreement and Purchase Agreement—the court concludes that an evidentiary hearing is unnecessary at this time. The arbitration forum is more than capable of handling factual disputes concerning arbitrability or the ultimate merits of the case in a later proceeding.

#### **4. The Propriety of a Stay**

Finally, the court notes that while the causes of action asserted by Lui and Cai against Dadgostari in the complaint are potentially within the scope of the parties' arbitration agreement—plainly, a question of arbitrability for the arbitrator to decide—the causes of action asserted by SEF are almost certainly not, because SEF is not a party to the arbitration agreement. The court is not persuaded by Dadgostari's conclusory and unsupported argument that SEF is an "alter ego" of Lui or Cai (or both—the argument is singularly unclear). The court is also not persuaded that SEF is a third-party beneficiary of the Operating Agreement. Indeed, it strikes the court as extremely bizarre to claim that an entity is a third-party beneficiary of *its own* operating agreement. The court has been given no legal authority for this novel claim.

At the same time, the court has reviewed the causes of action asserted by SEF in this case—the tortious interference causes of action—and finds that they overlap significantly with, and in some instances are derivative of, the other causes of action asserted by Lui and Cai. Accordingly, the court finds it appropriate to *stay* any causes of action that the arbitrator ultimately finds to be unarbitrable. The court also finds it appropriate to stay the case as a whole under Code of Civil Procedure section 1281.4, pending the arbitration.

The petition is GRANTED. The court sets this matter for a case status review on May 29, 2025 at 10:00 a.m. in Department 10.

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